

If, after exhausting all relevant possibilities, the ethical conflict remains unresolved, a professional accountant should, where possible, refuse to remain associated with the matter creating the conflict. The professional accountant may determine that, in the circumstances, it is appropriate to withdraw from the engagement team* or specific assignment, or to resign altogether from the engagement of the firm or employee organization.

7.7 CONSEQUENCES OF UNETHICAL BEHAVIOUR

Unethical behaviour is an action that falls outside of what is considered morally right or proper for a person, a profession or an industry. Individuals can behave unethically, as can businesses, professionals and politicians. Unethical accounting practices motivated by bonus incentives, pressure to obtain financing or a desire to appear successful are not always illegal, but they almost always have an adverse effect on your business. The common theme of these practices is that they sacrifice the short-term gain of apparent financial viability for long-term negative consequences.

7.7.1 Unethical Behaviour Among Individuals

- Lying to your spouse about how much money you spent.
- Lying to your parents about where you were for the evening.
- Stealing money from the petty cash drawer at work.
- Lying on your resume in order to get a job.
- Talking about a friend behind his back.
- Taking credit for work you did not do.
- Cheating on a school paper by copying it off the Internet.
- Using your position of power at work to sexually harass someone.

- Selling a house and not disclosing known defects to the buyers.
- Selling a car and lying about the vehicle's accident history.

7.7.2 Unethical Behaviour Among Businesses

- Dumping pollutants into the water supply rather than cleaning up the pollution properly.
- Releasing toxins into the air in levels above what is permitted by the Environmental Protection Agency.
- Coercing an injured worker not to report a work injury to workers' compensation by threatening him with the loss of a job or benefits.
- Refusing to give an employee a final paycheck for hours worked after the employee leaves the company.
- Not paying an employee for all of the hours worked.
- Incorrectly classifying an employee as an independent contractor and not as an employee in order to reduce payroll taxes and avoid purchasing unemployment and workers' compensation insurance.
- Engaging in price fixing to force smaller competitors out of business.
- Using bait and switch or false advertising tactics to lure customers in or convince them to buy a product.
- Rolling back the odometer on a vehicle that is for sale.
- Refusing to honour a warranty claim on a defective product.

Unethical Behaviour by Professionals

Auditor who audits the accounts he/she prepared

Failure to report material misstatement discovered by an auditor

A dentist preforms unnecessary procedures on a patient in order to receive the insurance payment.

Using a patient as a teaching tool for students for long periods of time without the permission of the patient or patient's family.

A lawyer will not return money or provide a which was being held for a client.

A lawyer represents parties on both sides of a legal transaction.

Unethical Behaviour Among Politicians and the Government

Using the Internal Revenue Service (IRS) to target groups that you do not like by auditing those groups or refusing to give them tax exempt status.

Obtaining private tax information about your political opponents from the Internal Revenue Service and using that information in a campaign.

Knowingly telling lies about your own political position or about the political position of your opponent just to get elected.

Accepting excess campaign contributions that violate campaign finance laws.

Using money that was donated to your campaign for personal, non-approved expenses.

Using your position of power to coerce lobbyists into buying expensive gifts for you and for your wife.

- Using your position of power to close traffic lanes in order to intentionally create traffic jam that affects residents of a city because residents in that city are not likely to vote for you in an election.

7.7.5 To the individual

Unethical behavior at work could have personal consequences. For a start, you could get fined. Some unethical actions are also illegal, and you could be arrested. If employee theft is widespread or significant, you could lose your job because your employer goes under. "Hurricane Resource Executive Online" reports 30 percent of small businesses fail because of employee theft. If you know someone is behaving unethically, it could make you feel angry, and if you personally are doing something unethical, it could make you feel anxious or guilty and increase your stress level.

Employee Relations Are Affected: When a manager or head of a business exhibits a lack of ethical behavior, he faces losing the respect of his employees. It is difficult to have a successful business without well-respected leaders. A lack of ethical behavior can also create tension among employees, with some employees resenting those who do not play by the rules and still manage to get ahead. Unethical behavior in the workplace also has the potential to lead to a lack of trust among employees, which is detrimental to a business that relies on collaboration and a sense of community.

7.7.6 Impact on Employee Performance:

A lack of ethics has a negative effect on employee performance. In some cases, employees are so concerned with getting ahead and making money that they ignore procedures and protocols.

MODULE 8

8.0

ENTERPRISE GOVERNANCE AND SOCIAL ISSUES

8.1

LEARNING OUTCOME

At the end of this module, readers are expected to understand and apply the following:

Ethics in relation to business and good governance

Ethics and the profession

Ethics and Corporate Social responsibility

8.2

INTRODUCTION

Every organization, as they grow has many stakeholders like shareholders, employees, customers, vendors, community, etc. For survival and growth, they have to rely upon healthy relations with all these stockholders. Hence organizations need to provide good returns for shareholders but also good jobs for employees, reliable products for consumers, responsible relations with the community and a clean environment.

Business ethics is the application of general ethical principles to business dilemmas and encompasses a broader range of issues and concerns than laws do, as everything that is legal is not ethical. Ethics involves learning what is right or wrong, and then doing the right thing but "the right thing" is not nearly as straightforward.

Business Ethics purposes is to give people the tools for dealing with moral complexity in business. Business decisions have an ethical component and the ethical implications must be weighed before acting so as to ensure it is the best interest of all.

Corporate governance is concerned with the ownership, control and accountability of companies, and how the corporate pursuit of economic objectives relates to a number of wider ethical and societal considerations. It is the application of best management practices, compliance of law in true letter and spirit and adherence to ethical standards for effective management and distribution of wealth and discharge of social responsibility for sustainable development of all stakeholders.

Good Corporate Governance is key to Growing Profits and Reputation. It represents the relationship among stakeholders that is used to determine and control the strategic direction and performance of organizations. Accountability is a key element as well as requirement for corporate governance, fortifying the latter in such a way that it provides a transparent template for governing critical decisions, procedures, and activities. Thus, corporate governance deals with the questions of who benefits from corporate decisions/senior management actions? and Who should benefit from corporate decisions/senior management actions?

8.3 ETHICS IN RELATION TO BUSINESS AND GOOD GOVERNANCE

The word 'Corporate Governance' (CG) has become a buzzword these days due to various corporate failures world over in recent past. The Corporate Governance represents the value framework, the ethical framework and the moral framework under which business decisions are taken. In other words, when investment takes place across national borders, the investors want to be sure that not only their capital handled effectively and adds to the creation of wealth, but the business decisions are also taken in a manner which is not illegal or does not involve moral hazards (S.k verma & Suman gupta, 2004). The Corporate Governance basically denoted the rule of law, transparency, accountability and protection of public interest in the

management of a company's affairs in the prevailing global and competitive market milieu. It called for an enlightened investing community and strict regulatory regimes to protect the rights of the investors and companies to improve productivity and profitability without recourse to any means which would offend the moral, ethical and regulatory framework of business.

3.4 CHARACTERISTICS OF GOOD CORPORATE GOVERNANCE

Good Corporate Governance is a formal system of Accountability and Control of ethical and socially responsible decisions and use of resources. The following are the chief characteristics of Good Corporate Governance:

1. it should be Participatory
2. it should be Consensus Oriented
3. it should be Accountable
4. it should be Transparent
5. it should be Responsive
6. it should be Effective and Efficient
7. it should be Equitable and Inclusive and
8. it should Follows the Rule of Law.

8.5 PRINCIPLES OF CORPORATE GOVERNANCE

- i. **Rights and equitable treatment of shareholders:** Organizations should respect the rights of shareholders and help shareholders to exercise those rights. They can help shareholders exercise their rights by effectively communicating information that is understandable and accessible and encouraging shareholders to participate in general meetings.
- ii. **Interests of other stakeholders:** Organizations should recognize that they have legal and other obligations to all legitimate stakeholders.
- iii. **Role and responsibilities of the board:** The board needs a range of skills and understanding to be able to deal with various business issues and have the ability to review and challenge management performance. It needs to be of sufficient size and have an appropriate level of commitment to fulfill its responsibilities and duties. There should be a mix of executive and non-executive directors.
- iv. **Integrity and ethical behaviour:** Ethical and responsible decision making is not only important for public relations, but it is also a necessary element in risk management and avoiding lawsuits. Organizations should develop a code of conduct for their directors and executives that promotes ethical and responsible decision making. It is important to understand, though, that reliance by a company on the integrity and ethics of individual directors is bound to eventual failure. Because of this, many organizations establish Compliance and Ethics Programs to minimize the risk that the firm steps outside of ethical and legal boundaries.
- v. **Disclosure and transparency:** Organizations should clarify and make publicly known their roles and responsibilities of board and management to provide shareholders with a clear understanding of the company's operations and financial performance.

of accountability. They should also implement procedures to independently verify and safeguard the integrity of the company's financial reporting. Disclosure of material matters concerning the organization should be timely and balanced to ensure that all investors have access to clear, factual information.

8.6 CHALLENGES OF CORPORATE GOVERNANCE

Corporate governance challenges can be classified into three basic issues:

- **Ethical issues:** This is concerned with the problem with fraud, which is becoming wide spread in capital economies. Corporation often fraudulent means to achieve their goals. They form cartels to exert tremendous pressure on the government to formulate public policy. Which may sometime go against the interests of individuals and society at large? At times corporation may resort to unethical means like bribes, giving gift to potential customers and lobbying under the cover of public relations in order to achieve their goal of maximizing long term owner value.

- **Efficiency issues:** These are concerned with the performance management. Management with responsible for ensuring reasonable return on investment made by shareholders. In developed countries, individuals usually invest money through mutual, retirement, and tax fund in India. However, small shareholders are still an important source of capital for corporation is mutual funds industry is still emerging. This issues relating to efficiency relating to management is of concerned to shareholders as there is no control mechanism through which they can control the activities of the management, whose efficiency is detrimental for return on their investments.

- **Accountability issues:** The management of corporation is accountable to its various stakeholders. This is emerging out of the stakeholders need for transparency of management in

the conduct of business. Since the activities of a corporation influence the workers, customer and society at large, some of the accountability issues are concerned with the social responsibility that a corporation must shoulder.

8.7 BUSINESS ETHICS

Business ethics also referred to as corporate ethics is a form of applied ethics or professional ethics that examines ethical principles and moral or ethical problems that arise in a business environment. It applies to all aspects of business conduct and is relevant to the conduct of individuals and entire organizations. Business ethics entails the study of the ethical dimensions of organizational economic activity on the systematic, organizational and intra-organizational levels (Rossouw, 2010). Business ethics focuses on what is good and right in a particular economic activity, where an organisation engages in a moral analysis and assessment of such economic activities and practices.

Business ethics has both normative and descriptive dimensions. As a corporate practice and a career specialization, the field is primarily normative. Academics attempting to understand business behavior employ descriptive methods. The range and quantity of business ethical issues reflects the interaction of profit-maximizing behavior with non-economic concerns. Interest in business ethics accelerated dramatically during the 1980s and 1990s, both within major corporations and within academia. For example, today most major corporations promote their commitment to non-economic values under headings such as ethics codes and social responsibility charters. Adam Smith said, "People of the same trade seldom meet together, even for merriment and diversion, but the conversation ends in a conspiracy against the public, or in some contrivance to raise prices." Governments use laws and regulations to point business

behavior in what they perceive to be beneficial directions. Ethics implicitly regulates areas and details of behavior that lie beyond governmental control. The emergence of large corporations with limited relationships and sensitivity to the communities in which they operate accelerated the development of formal ethics regimes.

8.8 BENEFITS OF GOOD BUSINESS ETHICS

Good business ethics brings much goodwill to a company that will in the long run translate into tangible benefits. Goodwill is that intangible asset that a company has earned over her period of operation as a result of being perceived by business associates and other third parties as being transparent, reliable, straightforward, trustworthy and so on.

Some of the tangible benefits that accrue a company for operating on an ethically sound business values are:

Profitability: The first direct dividend of ethical business operation is profitability. A company that is based on sound business value is more likely to be profitable than a company operating on corrupt practices.

Going Concern Assured: Being profitable will ensure that the company be around for at least the next twelve months. It is the desire of every business entity to be around for a longer time.

Ethical business practice is the way to go if you and your business truly value going concern.

Sustainability: Without sustainability, investments in business will simply not yield fruit. And without running your business on sound ethical values, sustainability will not be achieved in businesses and investments.

Competitive Advantage: Quality save money is a popular belief in accounting, business and investment. You will save the cost of reworking defects borne out of using poor equipment and employment of sharp practices. Again, this will give you and you investment (business) easy access to the heart of the general public if you build your business on ethical values and principles.

8.9

FACTORS INFLUENCING BUSINESS ETHICS:

- Formal and informal policies and rules
- Norms for acceptable behaviour
- Financial reward system
- Hiring practices
- Applications of legal behaviour
- Degree to which professionalism is emphasized
- The company's decision-making processes
- Developing Moral Judgment - Someone has said "Being Good is a Good Business"
- Fairness and honesty
- Conflict of interest
- Communications - False and misleading advertising and deceptive personal-selling tactics anger customers and may cause a business to fail
- Business relationships –
- Fairness and honesty - The heart of business ethics.
- Conflict of interest - Occurs when a person must choose whether to advance their own personal interest or those of others

- A person in the organization should be designated as ombudsperson who has the responsibility of investigating or resolving complaints from the employees of the organization against the ethics management programme.
- Each person of the organization is responsible for the implementation of the ethics management programme.

8.15 ETHICS AND THE PROFESSION: SOCIAL RESPONSIBILITY

Social Responsibility of Business

Social responsibility of business involves the consideration of general public interest by businessmen while taking business decisions and actions. According to Bowen, social responsibility refers to the 'obligations of businessmen to pursue those policies, to make those decisions or to follow those lines of action which are desirable in terms of the objectives and values of our society'. This entails that businessmen should perform their operations with due consideration to the aspirations of society. They should fulfil the demands of those who have a claim on the operations of business. They must measure the consequences of their decisions and courses of action on the society and ascertain that no undue harm is done to the interests of the society.

The concept of social responsibility has emerged due to several economic, social, political and legal influences. These forces, which have obliged, persuaded and helped businessmen to become aware of their responsibility to society, are as follows:

- i. Public opinion: Public interference with the help of the government has instilled a fear in the heart of businessmen. The threat of public regulation and public ownership has

compelled them to acknowledge the fact that responsible behaviour is essential on their part for survival in the private sector.

- ii. Trade union movement: The recent development of socialism that boosted the strength of labour unions has forced businessmen to give a fair share to workers. Human relations and labour legislation have facilitated trade unions to increase their influence.
- iii. Consumerism: Consumer organizations have encouraged awareness about consumer rights. Consequently, businesses have become more responsive to consumer needs and stress the dictum of 'consumer is the king'. Businessmen can no longer adopt the approach of 'let the buyer beware'
- iv. Education: Extensive education has made businessmen conscious about the quality of life, moral values and social standards. Liberal business leaders have been pressing the business community to acknowledge its social obligations.
- v. Public relations: Modern businessmen are aware that a good public image contributes to their growth. There is a greater alertness in their hearts that business is a construction of society and hence, it should consider and react positively to the expectations of society.
- vi. Managerial revolution: Separation of ownership from control in large corporations has resulted in professionalism in management. A professional manager is fairly aware of the society's expectations and attempts to meet the demands of all social components, like customers, employees, shareholders and the government, in a well-adjusted manner.

The case of social responsibility has been subject of controversy since long. There have been arguments both in favour and against it. The main points that support the assumption of social responsibility by business enterprise are as follows:

- i. Long-term self-interest of business: As stated earlier, a good public image is bound to give better returns to a business enterprise. Businessmen can benefit in the long run by providing for the welfare of the society through education and better living conditions. This will result in better employees in business and enlightened customers in society who will benefit through their increased purchasing power.
- ii. Ascertainment of law and order: Social responsibility on the part of business can avoid unrest in society. If the society feels that it is not getting its appropriate share in business, it is bound to create disorder by adopting anti-social and illegal activities and rebellions. Pursuing the doctrine of social responsibility can help business organizations prevent social chaos.
- iii. Maintenance of free enterprise: Government or public regulation can hinder the development of business by decreasing the flexibility of decision-making and the freedom of choice and action. Therefore, the voluntary assumption of social responsibilities is essential for the growth of a business organization.
- iv. Creation of society: Business is a part of society and survives on the demands of the society. Therefore, it should be responsive to social expectations and welfare. The right of the business to grow goes hand in hand with its awareness of social responsibility and welfare. It is the duty of the business enterprise to contribute in some way to the well-being of its society.

- v. Moral justification: Enlightened businessmen have now become more aware about their moral duty to serve the society. Business has the resources and power to solve social problems. Therefore, its power should be balanced with social responsibility.
- vi. Profitable environment: To ensure a profitable environment in the society in which it operates, business needs to meet the challenges of social evils. Active interference on the part of businessmen in solving these challenges can convert them to opportunities, which in turn will ascertain not just the existence, but also the benefits of the organization.
- vii. System interdependence: Business system and social dependence are interrelated and thus affect each other.

The arguments against social responsibility on the part of business enterprise are as follows:

- i. Dilution of profit maximization: Economic value is the main criterion by which the success of a business should be estimated. According to Milton Friedman, 'Few trends could so thoroughly undermine the very foundation of our free society as the acceptance by corporate officials of a social responsibility other than to make as much money for shareholders as possible. This is a fundamentally subversive doctrine. Management's spending for society is hypocrisy. Only people can have responsibilities not corporations.'
- ii. Loss of incentive: The motivation to utilize resources effectively is decreased when social responsibility is considered important. It is the profit motive principally that encourages optimum use of resources and manpower to run the business with enthusiasm.

- iii. Lack of standard: Besides the effort motive, profit serves as a standard to measure the performance of business. A business organization goes off course as it loses the guiding measure that depicts the efficiency of its performance and thus hinders decision-making.
- iv. Business is an objective venture: The emotional insights and experience essential to tackle social problems are lacking in the temperament of businessmen. They cannot determine what is in public interest. The solutions to social problems should be expected from specialized social agencies and not from businessmen.
- v. Undue use of power: If business organizations are involved in social institutions they are likely to dominate the decisions of these institutions for their own interests. They can use their financial power to take decisions concerning the functioning of these institutions. This may further lead to increased social detriment.
- vi. Market mechanism gets distorted: The principle of social responsibility is based on the assumption that market mechanism is not the appropriate way to allocate scarce resources to alternative uses and so it should be replaced by political mechanism. If the market price of a product contains the cost of social actions, it does not actually represent the relative cost of producing it and thus the market mechanism gets distorted.

8.16 MANAGERIAL SKILLS IN CORPORATE GOVERNANCE

A manager must possess certain skills in order to translate knowledge into performance. It is the level of competency that allows for performance to be superior in the field in which the employees have the required skill. All managers need to possess technical, interpersonal,